

the skids and cannot meet your mortgage repayments. Do not confuse LMI with mortgage protection insurance, which is cottonwool for the buyer; LMI is security for your lender. While LMI isn't intended for your protection, it does allow you to get into the market sooner with less.

To calculate LMI, the bank crunches numbers including how much of a deposit you have, your employment situation – a number of lenders will waive LMI for doctors, for instance, and others in high-income professions – and whether the property is your residence or an investment. LMI can be in the thousands of dollars – to find out how much you are up for, Genworth and QBE Insurance, which are the two main LMI lenders in Australia, have online calculators. Some banks will self-insure.

You'll find that the LMI amount ramps up sharply anywhere above a 90 per cent loan. Bessie Hassan, a money expert from [finder.com.au](https://www.finder.com.au), says LMI can be paid either as a one-off lump sum when the loan is established, or can be rolled into loan repayments. You may be slugged LMI upfront or, if it is added to the loan, you'll notice it is referred to as 'LMI capitalisation' in the fine print of the paperwork. 'This means it's added to the principal of your loan and attracts an interest charge,' Hassan says. So, if you take the route where the LMI is shovelled into your mortgage, the lender effectively pays it and you'll pay it back to them with interest.

Have the LMI conversation nearer to the start of the savings journey than the end, to help you decide on your deposit target. If you are intending to take out a loan with the bank you have long been loyal to, ask ASAP. If not, consider looking around for a bank that will roll it into the loan – but be prepared to pay over and above. Hassan also advises, 'There aren't many LMI insurers in Australia, which means that if your application for a home loan is rejected because of an LMI insurer's criteria, you might want to apply for another home loan with a lender who self-insures, or uses a different LMI insurer.'

Here's the difference having a 20 per cent deposit can make:

You are a first home buyer who wants to purchase a property valued at \$500,000, on a loan of 30 years. If you saved a 15 per cent deposit, your LMI is calculated at \$4,420, and if you have a ten per cent deposit, the premium increases to \$7,920.

Source: [finder.com.au](https://www.finder.com.au), using the Genworth LMI premium estimator